

PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices were placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. On April 10, 1981, management elected to suspend production of the Micropin game. It was subsequently decided to permanently terminate production of the Micropin game. During 1981 the Company began purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982 the Company acquired all of the outstanding stock of Mobile Engineering ("Elcon"), a manufacturer of video amusement games in Michigan which, based on data supplied to the Company, was operating profitably. Subsequently, Elcon was accused by several major manufacturers of engaging in copyright infringements and the sale of unauthorized games. Because the Company had no prior knowledge of the claims against Elcon and because this material matter was not previously disclosed to the Company and was in violation of the merger agreement, the Company rescinded the acquisition on August 18, 1982.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services.

On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the five employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence. The Company is currently experiencing far more business opportunities than it has resources to fulfill and plans to expand its staff, but cautiously.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1988. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings

On August 18, 1982, the Company sent a letter to the owner of Mobile Amusement Engineering, Inc. ("Elcon"), advising him of the Company's decision to rescind the acquisition of Elcon (see note 12). The rescission was rejected by the owner of Elcon.

On August 25, 1982, the Company filed a Complaint for Rescission, Restitution and Damages in the U. S. District Court of the Central District of California naming the owner of Elcon as defendant. In November 1982, the owner of Elcon together with Mobile Amusement Engineering, Inc. and Elcon Industries, Inc. filed an Answer to Complaint and Counterclaim and Demand for jury trial, naming the Company and an officer/director as defendants.

The case is presently in pre-trial and discovery phase with no trial date yet assigned. The Company is confident it has adequate defenses and will prevail in the action; however, the final outcome of the litigation cannot be determined at this time.

On September 20, 1982, Mobile Amusement Engineering Inc. dba Elcon Industries, Inc. ("Elcon") and its owner filed an action against the Company in the U.S. District Court of the Eastern District of Michigan for breach of contract and declaratory release. Plaintiff seeks specific performance of the acquisition agreement. This action was stayed by order of the U.S. District Court, November 9, 1982. The Company has filed no answer and expects that the matter will be disposed of with the action by Annandale against Elcon explained above.

As explained in note 12 in the accompanying financial statements, Elcon is a defendant in three lawsuits. The Company has also been named in one of these actions and counsel has advised that it is possible the Company may become involved in the other two lawsuits. Additionally, the Company is a party to a number of other legal actions arising in the ordinary course of its business.

Management has recorded an estimated liability of \$100,000 to provide for possible losses in the actions discussed above. The liability was recorded as a charge to operations for the year ended March 31, 1983. In the opinion of management, the liability, if any, in excess of the amount provided for will not materially affect the operations or financial position of the Company.

There are no other legal proceedings by or against the Company.

Item 4. Submission of Matters To A Vote Of Security Holders

- a. Special meeting held March 28, 1983
- b. N/A
- c. (1) Change the principal business of the corporation to business and financial consulting services.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - continued

As a result of the public offering of Financial News Network, Inc. in July, 1982, the 200,000 shares the Company received for consulting services have appreciated greatly. The shares were valued at their estimated fair market value based on a percentage of the offering price of Financial News Network, Inc.'s common stock which was \$3.00 per share. The stock was recently quoted by NASDAQ at \$8-5/8 bid and \$8-7/8 ask (June 24, 1983).

Of the 200,000 shares that Micropin Corporation now holds, 50,000 of those shares were originally offered to Mr. Stewart personally which he accepted but in the name of Micropin Corporation. The Company subsequently has authorized the transfer of 25,000 of those shares to Mr. Stewart.

The Company currently has a strong balance sheet with no long- or short-term debt (other than current obligations), and over \$1.1 million dollars in cash and marketable securities. Management anticipates no material change in the Company's liquidity position and there have been no material commitments for capital resources not previously reported.

Although the Company considered in the past the sale of the Micropin game machine assets, it was determined by the Board of Directors that due to the current depressed market for amusement game equipment, especially pinball-type machines, to postpone any such sale unless market conditions improve. In addition, it was decided in order to give the fairest representation of the Company's financial condition, to write off the Micropin game machine assets, as there is little or no current market for those assets at this time.

Capital Needs

The Company has no major purchase commitments or other commitments other than for the lease of premises as shown in the financial statements. Management does not presently plan to borrow funds, sell securities or enter into any other arrangements to raise funds.

Results of Operations

Because Annandale was in the development stage during 1980 there was no significant revenue from operations. Operations began on a limited basis during 1981 with revenues from operations amounting to approximately \$42,000. However, limited volume and increases in operating costs resulted in an operating loss for 1981 of approximately \$943,000 before interest income. Unused working capital resulting from the proceeds of the public stock offering were invested primarily in short-term certificates of deposit, which resulted in interest income (net of interest expense) of approximately \$145,000 in 1981.

During 1982, the Company shifted its emphasis from the production and operation of the Micropin game to the purchase and operation of electronic video games. The Company, as previously stated, acquired Elcon Industries, Inc., effective January 1, 1982.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - Continued

Because the Elcon acquisition was rescinded in August, 1982, the 1982 figures have been restated to show the profit relating to Elcon as a \$85,941 income from discontinued operations. The Annandale revenue resulted from amusement game revenues of approximately \$357,000 and consulting fees of \$300,000 resulting in a \$383,000 operating loss from continuing operations before interest income. Interest income (net of interest expense) was approximately \$355,000.

Due to the steadily decreasing video game market, the Board of Directors elected to dispose of the Company's video game interests and concentrate full-time efforts on business and financial consulting during the year ended March 31, 1983. The loss from the disposal of video game assets was approximately \$93,000. As there was little or no current market for the Micropin game machine assets, it was decided in order to give the fairest representation of the Company's financial condition, to write off these assets which resulted in a loss of approximately \$815,000. As described in note 14 in the accompanying financial statements, the Company recorded as a charge to operating expenses an estimated litigation liability of \$100,000. These charges are the significant factors in the increase in operating expenses and loss from continuing operations during 1983. The current inflation rate has had no significant impact on the Company's operations.

The disposal of the subsidiary resulted in a loss of \$237,217 from discontinued operations. The year ending March 31, 1983, has been an unusual one for the Company with the disposals taking place, but one that ended in a positive direction after the special meeting of shareholders on March 28, 1983. It was voted to change the principal business of the corporation to business and financial consulting services.

The management of the Company expects to report a profit in the upcoming fiscal year as a result of the above described changes.

Item 8. Financial Statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

BALANCE SHEET

MARCH 31, 1983 AND 1982

ASSETS

	<u>1983</u>	<u>1982</u>
Current assets		
Cash	\$ 79,701	\$ 161,025
Marketable securities (notes 1 and 2)	1,047,854	1,125,000
Accounts receivable, net of allowance for doubtful accounts of \$58,000 in 1982	-	458,808
Receivables from officers and stockholders	-	7,200
Interest receivable	38,799	39,078
Inventories (notes 1 and 3)	-	505,273
Notes receivable - current portion (notes 5 and 11)	705,469	-
Prepaid expenses and other assets	33,249	39,007
Total current assets	<u>1,905,072</u>	<u>2,335,391</u>
Fixed assets (note 1)		
Furniture and fixtures	24,424	58,832
Machinery and equipment	26,502	77,293
Transportation equipment	20,894	27,997
Electronic video games	-	271,799
Leasehold improvements	-	12,528
	71,820	448,449
Less accumulated depreciation and amortization	<u>(19,124)</u>	<u>(89,144)</u>
	<u>52,696</u>	<u>359,305</u>
Other assets		
Notes receivable - net of current portion (note 5)	48,965	705,469
Investments (notes 4 and 8)	411,750	300,000
Equipment and materials held for resale (note 6)	-	815,575
Goodwill, net of amortization (notes 1 and 12)	-	364,889
Deferred charges and other assets	2,100	63,738
	<u>462,815</u>	<u>2,249,671</u>
	<u>\$ 2,420,583</u>	<u>\$ 4,944,367</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

6. EQUIPMENT AND MATERIALS HELD FOR RESALE - continued

At March 31, 1982, the Micropin game, equipment and materials were carried at cost and management was attempting to locate a qualified buyer and consummate the sale of the assets and rights referred to above. The Company was unable to sell the assets because the market declined significantly subsequent to March 31, 1982. Consequently, in December 1982, the equipment and material were written off as a charge to operations.

7. NOTES PAYABLE

Notes payable at March 31, 1982, consist of the following:

Note payable to former shareholder with principal and interest at 15% due October 1, 1982.	\$ 146,086
Note payable on demand with interest at 24%. Interest only payments of \$500 are due monthly.	<u>25,000</u>
	<u>\$ 171,086</u>

8. ACCRUED BONUS

Under an agreement dated March 22, 1982, the Company was to receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company), as compensation for consulting services (see note 4). As a result of subsequent negotiations, it was agreed that the Company will receive 200,000 shares of common stock of Financial News Network, Inc., rather than 150,000 shares. The shares to be received are not registered under the Securities Act of 1933.

The Board of Directors granted a bonus of 25,000 shares of the above-mentioned additional 50,000 shares of stock to an officer of the Company. The bonus is payable when the Company receives the aforementioned 200,000 shares and complies with such legal requirements as may be necessary to effect their transfer. Accordingly, a bonus of \$50,000 has been accrued, based on the estimated fair market value of the stock at the date the bonus was granted.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

12. DISCONTINUED OPERATIONS

Effective January 1, 1982, Annandale Corporation agreed to purchase all of the outstanding stock of Mobile Amusement Engineering, Inc., dba Elcon Industries, Inc. ("Elcon"), a manufacturer of video amusement games. Under the terms of the acquisition agreement, the former shareholder of Elcon was to receive 500,000 shares of Annandale's common stock (aggregate market value \$656,250), 170,000 shares and warrants to purchase up to 250,000 shares contingently issuable upon the earnings of Elcon during the year ending March 31, 1983. Although the 500,000 shares had not actually been issued, the financial statements for the year ended March 31, 1982, were prepared as though the shares were issued and outstanding at that time.

Elcon is a defendant in three lawsuits filed on April 22, 1982, May 12, 1982, and July 1, 1982, seeking unspecified damages. These lawsuits were filed by major manufacturers of video games and allege copyright infringement, patent infringement, trademark infringement and unfair competition. Prior to August 1982, management believed that Elcon had adequate defenses against the lawsuits and that they would not result in any material liability to Elcon. During August 1982, management learned that Elcon's defenses against the lawsuits were significantly weaker than previously believed and that the liability arising from the suits could be material. The Company had no knowledge of the unasserted claims against Elcon at the date it agreed to purchase all of its outstanding stock. Accordingly, the Company rescinded the acquisition on August 18, 1982, and filed a complaint for rescission on August 25, 1982 (see note 14). The Company is no longer affiliated with Elcon.

The rescission has been accounted for as a discontinued operation. Results of operations of Elcon have been included in the statement of operations through June 30, 1982. Subsequent financial information relating to Elcon is not available. The loss on disposal of Elcon of \$132,264, or \$.04 per share, includes all anticipated losses subsequent to June 30, 1982. Net sales of Elcon for 1983 and 1982 were \$488,965 and \$861,525, respectively. These amounts are not included in net sales in the accompanying statement of operations.

13. INDUSTRY SEGMENT INFORMATION

See note 1 - Company History, for a description of the industries in which the Company operates. Identifiable assets are those assets which are used in the Company's operations in each industry segment. General corporate assets consist primarily of cash and marketable securities.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

14. LITIGATION

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